

FAF: we sold insurance in a market that doesn't exist — at a price only we could set

Short 2× First American Jan-2027 70 puts, filled at 3.40 on a chain with zero real quotes. Worst case is buying a courted title-insurance franchise 11% below spot at an entry the court already approved; best case is ~15%/yr stacked pre-tax to wait. The position is simultaneously a trade and the program's first live experiment in writing options on paper too small for anyone else to price.

POSITION

–2× Jan-15-27 70P @ 3.4048

rest-never-cross; filled in ~1 session · spot 75.15 at writing

ASSIGNMENT BASIS

\$66.60 / \$13,320

inside the courted 66–70 band, 11.4% below spot

CARRY IF IT EXPIRES

~15%/yr stacked pre-tax

10.7%/yr on strike + 4.3% SGOV on collateral ·
~7.5% after-tax vs 3.9% muni hurdle — clears ~2×

STATUS

LIVE

EXPERIMENT

forensics Aug-10 / Aug-31 · gate Oct-21 · expiry Jan-15-27

The market we sold into, measured: 65 contracts a day, zero real bids

The entire FAF options market — every expiry, every strike — trades ~\$490k of daily notional against ~\$75M of stock volume (0.6%). Open interest, whole name vs our corner:



Jan-2027, all 15 strikes



112

Jan-2027 70 strike (us)



2

Put "quotes" at our expiry: bids of 0.00 against ~4.80 placeholder asks. Our 2-lot was ~6% of the expiry's busiest day and 100% of the market at the strike — which doesn't yet appear in consolidated data because open interest posts T+1 behind a trade we are one side of.

The absence of a price is the opportunity. A market this size cannot fund a market maker and cannot absorb an institution. A 2-lot resting offer is the only viable supply — and it names its own price.

03

Two independent ways to be right about the underlying

What the market believes: a fairly-valued title insurer in a depressed mortgage cycle — thin coverage, no strong view, no options market.

What we underwrote (court: WATCH 6/10, dual-leg, 2026-07):

PRICE LEG

Own it at 66–70

FAF/FNF title duopoly with escrow-float economics; priced for volume pessimism that mean-reverts with any rate relief

OPERATIONS LEG

Personnel ratio $\leq 44.0\%$

falsifiable on the Oct-21 print — title search/examination/curative is labor that automates; the AI-adopter screen's structural pick in the sector

Neither leg needs to be right for the position to pay: expiry-worthless collects the carry; assignment delivers the courted entry at a discount. The only unpriced scenario is FAF materially below ~60 at expiry — the accepted, bounded, unlevered tail (~\$13.3k max, sleeve-capped).

04

Why the premium exists: the buyer cannot get this anywhere else

- **Spread edge** — on a dead chain there is no mid to arbitrage against. We rest at our price; the buyer pays it or there is no trade.

- **Capacity edge** — nobody structured for size can profitably quote 2-lot LEAP flow. The trade exists *because* it is too small to compete for. The aggregation-cost moat, in miniature.
- **Constrained demand** — the buyer class is borrow-impaired bears and mandate-bound hedgers. Regulation excludes informed insiders: lockup "swap or other arrangement" clauses and anti-hedging policies bar concentrated holders from buying this protection.

Live corroboration: the same day we sold the 70s at 3.40, someone paid 3.50 for the 65s — a worse strike at $\sim 2\times$ its theoretical value (~ 1.80). The captivity premium is real, collectible, and currently being paid to whoever shows up to sell.

05

Pricing discipline: model against tape, machine-checked



The fill implies 29.8% volatility against 29.2% realized — **at actuarial** — but $\sim \$120$ below the full captivity reservation, because the ask was inherited from the chain's phantom marks instead of derived from the model.

Post-mortem: the ask was taken from the chain's marks rather than derived — on a dead chain the mark is fiction, and it cost $\sim \$120$ of captivity premium against the model's reservation of 4.01. The fix is now standing infrastructure: `desk/dead_chain_pricer.py` is the mandatory staging step for every future leg — realized vol computed from two years of bars, reservation ask = RV-theoretical + 3–5 pt captivity margin, a per-leg implied-vs-realized gate that refuses any ask below actuarial, and after-tax carry printed against the muni hurdle before anything rests.

06

The live experiment: the fill is data

The offer filled in roughly one session — the **fast-fill branch**, the design's highest-information outcome. Two hypotheses now race, with pre-committed checkpoints:

HYPOTHESIS A · CAPTIVE HEDGER

Premium is structural

buyer paid the captivity price because no other seller exists → program scales to TRU and the 17-chain census

HYPOTHESIS B · INFORMED FLOW

Adverse selection

buyer knows something about FAF → widen the resting margin before any scaling

FORENSICS +5D · AUG-10

Spot path + filings sweep

news, 13D/G, IV and OI change at the 70 strike

FORENSICS +20D · AUG-31

Adverse-selection verdict

no program scaling before both checks clear

07

Risks, kills, and how this call gets graded

DATE	EVENT	WHAT IT DECIDES
Aug-10 / Aug-31	Fill forensics	Hedger vs informed → whether the program scales
Oct-21	FAF Q3 print	Personnel ratio $\leq 44.0\%$ gates the operations leg; a miss re-courts the price leg alone
Jan-15-27	Expiry	Worthless → $\sim 15\%$ /yr stacked collected · Assigned → own FAF at 66.60, band-consistent

- **Housing/credit break:** assignment into weakness at the courted basis — accepted, bounded, unlevered; book-wide short-put assignment exposure $\sim \$44k$.
- **Tax honesty:** premium is short-term ordinary income — anti-TLH by nature; accepted as the template-2 exception. After-tax the carry still clears the muni hurdle $\sim 2\times$.
- **Adverse selection at +20d:** kills scaling, not this position — 2 lots ride to term.

SignalOS · rev 4 (deck format) · records: edge_classifications/FAF.json ·

DEAD_CHAIN_PROGRAM_20260803.json · csp_shadow_ledger.json · pricing tool: desk/dead_chain_pricer.py